

Amendment No. 1 to HB0548

Crawford
Signature of Sponsor

AMEND Senate Bill No. 377*

House Bill No. 548

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 4, Chapter 56, is amended by adding the following as a new part:

4-56-201.

(a) This part is known and may be cited as the "Tennessee Procurement Protection Act."

(b) The purpose of this act is to ensure that suppliers to the state and to political subdivisions of this state are safe, reliable, and free from undue influence and control from foreign adversaries.

4-56-202.

(a) As used in this part:

(1) "Chief procurement officer" or "CPO" means the chief procurement officer within the department of general services;

(2) "Company" means a sole proprietorship, organization, association, corporation, partnership, joint venture, limited partnership, limited liability partnership, limited liability company, or other entity or business association, including all wholly owned subsidiaries, majority-owned subsidiaries, parent companies, or affiliates of such entities or business associations, that exist for the purpose of making profit;

(3) "Domicile" means the country in which a company is registered, where the company's affairs are primarily completed, or where the majority of ownership shares are held;

(4) "Final product or service" includes technology devices and software;

(5) "Foreign adversary" means a country designated by the United States department of commerce under 15 CFR 791.4 on January 1, 2025, and as amended thereafter;

(6) "Foreign adversary company" means a company that:

(A) Is primarily domiciled, incorporated, issued, or listed in a foreign adversary;

(B) Is headquartered in a foreign adversary;

(C) Has its principal place of business in a foreign adversary;

(D) Is controlled by the government or an instrumentality thereof of a foreign adversary; or

(E) Is majority-owned by an entity or is board-controlled by an entity that is under the jurisdictional control of the government of a foreign adversary; and

(7) "Technology devices and software" means:

(A) Communication and networking devices, including:

(i) Routers and modems;

(ii) Mobile phones; and

(iii) Voice-over internet protocol (VoIP) phones;

(B) Personal computing devices, including:

(i) Laptops and desktops;

(ii) Tablets; and

(iii) USB drives and external storage devices;

(C) Industrial and critical infrastructure devices, including smart control systems and sensors for utility distribution systems;

(D) Government equipment, including:

(i) Secure communication devices;

(ii) Cloud storage services;

(iii) Email systems and software;

(iv) Remote work tools, platforms, and software; and

(v) Smart televisions, speakers, security cameras, thermostats, and similar smart devices installed or used for government purposes;

(E) Financial and payment systems, including point-of-sale (POS) systems;

(F) Automotive and transportation systems, including:

(i) Connected vehicles;

(ii) Aircraft avionics systems;

(iii) Drones and unmanned aerial vehicles (UAVs); and

(iv) Vehicle navigation systems; and

(G) Any other device or software as prescribed by rule of the CPO that is designated as high-risk for purposes of the compromise of data, information, or utility.

(b) If an entity does not meet the criteria in subdivision (a)(6) and does not recognize more than fifty percent (50%) of the total annual global revenue of the entity and its subsidiaries from China and Hong Kong combined, then the entity is not a foreign adversary company solely because one (1) or more subsidiaries or affiliates meet the definition of a foreign adversary company.

4-56-203.

It is the policy of this state to:

(1) Prohibit the public procurement of final products or services from a foreign adversary company, whether those products or services are sold directly by the foreign adversary company or through a third-party vendor; provided, that such prohibition with respect to third-party vendors only applies to such vendors who contract for the procurement of technology devices and software; and

(2) Authorize the public procurement of final products and services from a company that has operations, affiliates, and subsidiaries located within a foreign adversary so long as the company is not a foreign adversary company.

4-56-204.

(a) Except as provided in subsection (e), state agencies and political subdivisions are prohibited from contracting with a foreign adversary company for final products or services.

(b) For the purpose of complying with subsection (a), a company that offers to provide final products or services to a state agency or a political subdivision of this state that are manufactured or produced by a foreign adversary company is, for the purposes of this section, considered a foreign adversary company. Subsection (a) does not apply to final products or services that have inputs from a foreign adversary company but that are not final products of a foreign adversary company.

(c) The CPO, state agency, or political subdivision shall require a person that contracts with this state, including a contract renewal, to certify, at the time the bid is submitted or the contract is entered into, renewed, or assigned, that the person or the assignee is not a foreign adversary company as described in subsection (b). The CPO, state agency, or political subdivision shall include certification information in the procurement record.

(d)

(1) A person or entity that fails to provide a certification or falsifies a certification required under subsection (c) is:

(A) Subject to a civil penalty of two hundred fifty thousand dollars (\$250,000) or twice the amount of the contract for which the bid or proposal was submitted, whichever is greater; and

(B) Prohibited from contracting with this state or a political subdivision of this state for sixty (60) months.

(2) Upon receiving proof satisfactory that a person or entity who was required to make the certification pursuant to subsection (c) is in violation thereof, the CPO, state agency, or political subdivision shall:

(A) Forward the information to the attorney general and reporter who may file an action in a court of appropriate jurisdiction to recover such civil penalty; and

(B) Terminate the contract for cause under this subsection (d).

(e) Notwithstanding subsections (a)-(c), the CPO, a state agency, or a political subdivision may enter into a contract for final products or services produced by a foreign adversary company if:

(1) There is no other reasonable option for procuring the final product or service; and

(2) The contract is approved by the CPO, state agency, or political subdivision, after a determination that not procuring the final product or service would pose a greater threat to this state than the threat associated with the product or service itself.

4-56-205.

Notwithstanding this part to the contrary, this part does not apply to a company, including a third-party vendor, that is in compliance with the Secure and Trusted Communications Networks Act of 2019 (Public Law 116-124).

4-56-206.

If any provision of this part or its application to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the part that can be given effect without the invalid provision or application, and to that end, the provisions of this part are severable.

SECTION 2. This act takes effect July 1, 2025, the public welfare requiring it, and applies to contracts entered into, renewed, or amended on or after July 1, 2025.